Tribhuvan University

Faculty of Management

OFFICE OF THE DEAN

2022

Bachelor in Business Administration

Course Title: **Treasure Management**

Code No: **BNK207** Semester: **8th Semester**

Full Marks: **60** Pass Marks: **24** Time: **3 hours**

Candidates are required to answer the questions in their own words as far as practicable.

Section A

1. The Treasury department of the bank invests the majority of its funds in high-risk assets in order to maximize earnings.

2. The front office is responsible for analyzing and controlling the risk of treasury dealings.

3. Call deposit mainly serves the need for appropriate assets liability management of the banks and financial institutions.

4. Counterparty risk arises from the non-performing of a trading partner.

5. Deposit pricing is the process of determining the price of deposit-related services offered by depository institutions.

6. Statutory liquidity ratio (SLR) is the maximum amount of liquid funds the bank has to maintain.

7. A bank with a positive duration gap would experience an increase in the market value of equity with rising interest rates.

8. The market price of underlying securities determines the value of derivative securities.

9. Non-price competition for deposits has tended to distort the allocation of scarce resources in the banking sector.

10. FEDAN is an association of all banks and financial institutions in Nepal.

Section B

Short Answer Questions:[6 × 5 = 30]

11. What do you mean by Treasury Management? Explain the roles and functions of the treasury department.

12. What are the major types of credit products of Nepalese commercial banks? Explain.

13. Briefly describe the major risk faced by Nepalese commercial banks.

14. What is deposit pricing? Describe the various deposit-pricing models used in the banking industry.

15. Define asset-liability management. Discuss the objectives of the ALM system.

16. Describe the credit default swap (CDS) and also highlight the various types of risk associated with the derivative product.

Section C

Comprehensive Answer Questions:[2 × 10 = 20]

17. What do you mean by a bank's investment portfolio? Explain the types of investment instruments accessible to Nepalese commercial banks.

18. The banking and financial services sector has experienced changing wave of banking regulations to address to consequences of economic instability. In the light of this statement, explain the scope, opportunities, and challenges associated with banks' treasury functions.